

Stock-out costs: backorders vs lost sales

Part 6 · Show me the money — solution report with data, method, results and charts

Contents

1. Part 6 · Show me the money — Stock-out costs: backorders vs lost sales

1. Stock-out costs: backorders vs lost sales

40 (25 backorders, 15 lost sales) Stock-out events \$263.70 Avg cost per short unit — lost sale	\$341,604 Total annual stock-out cost 26% Goodwill share of total	\$60.35 Avg cost per short unit — backorder 15 Expedited events
--	--	--

Where stock-out money goes

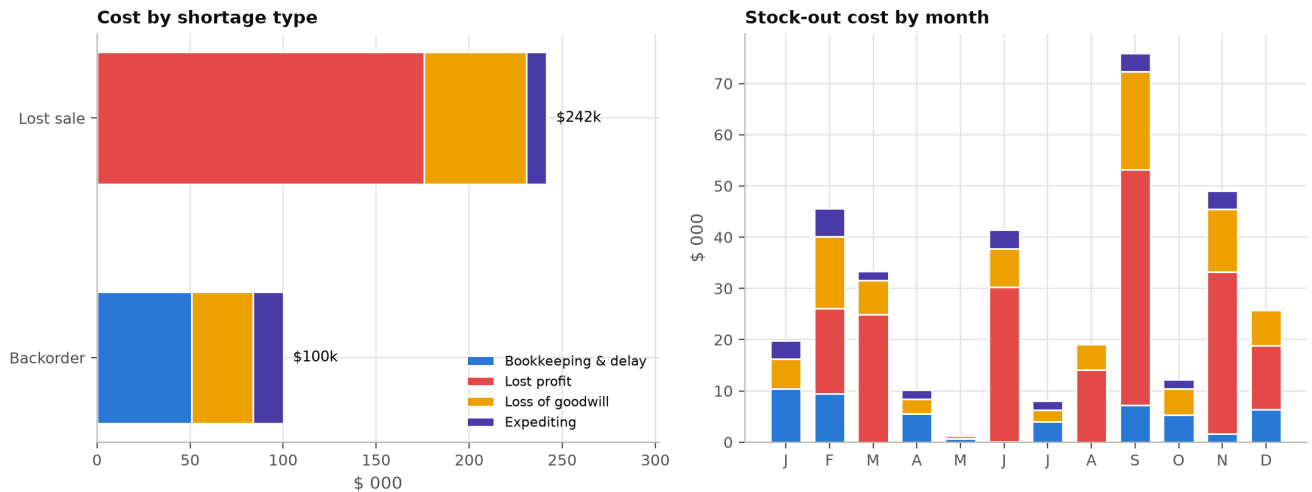


Figure 1.1 — Stock-out cost components by type and by month.

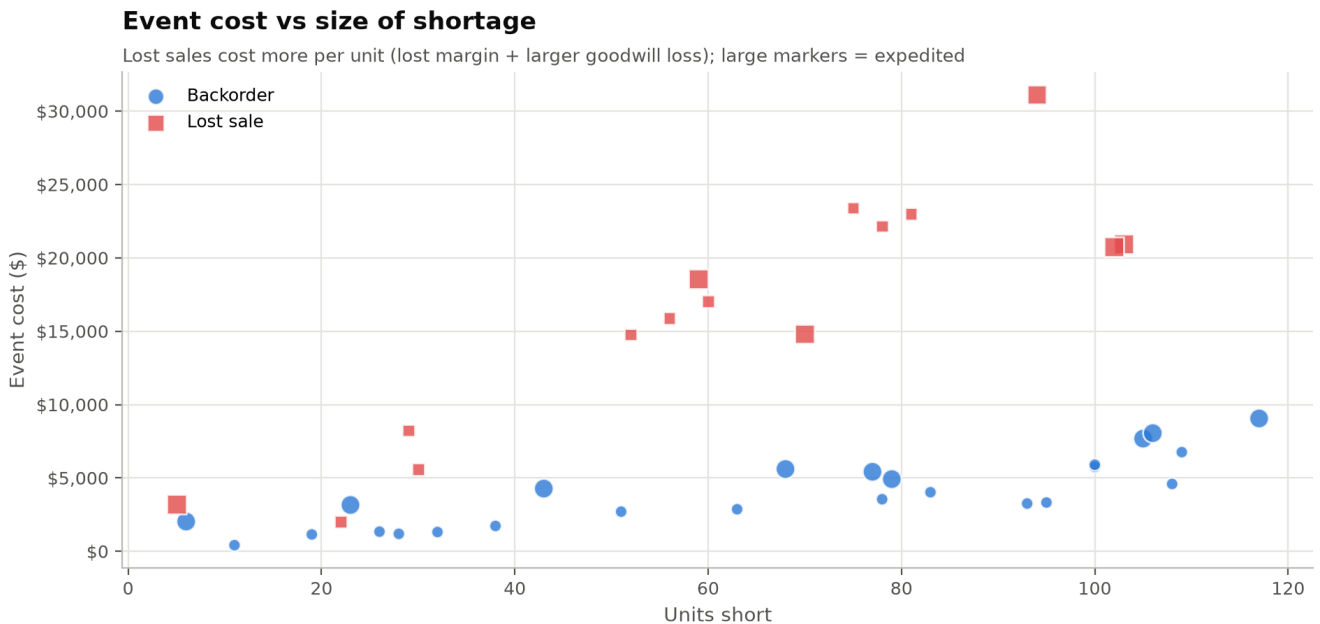


Figure 1.2 — Each point is a stock-out event.

Stock-out cost by item.

item	events	short units	total cost	cost per unit short
Inverter PCB	16	860	\$152,413	\$177.22
Compressor	9	629	\$83,926	\$133.43
Door assembly	9	693	\$82,204	\$118.62

item	events	short units	total cost	cost per unit short
Drum bearing	6	392	\$23,062	\$58.83

Fifteen most expensive stock-out events.

event id	month	item	type	short units	delay days	expedited	bookkeeping delay cost	lost profit	goodwill loss	expediting cost	total cost
25	6	Compressor	lost_sale	94	0	Yes	\$0	\$23,688	\$5,640	\$1,800	\$31,128
28	9	Compressor	lost_sale	75	0	No	\$0	\$18,900	\$4,500	\$0	\$23,400
24	9	Inverter PCB	lost_sale	81	0	No	\$0	\$18,144	\$4,860	\$0	\$23,004
7	11	Inverter PCB	lost_sale	78	0	No	\$0	\$17,472	\$4,680	\$0	\$22,152
2	11	Door assembly	lost_sale	103	0	Yes	\$0	\$12,978	\$6,180	\$1,800	\$20,958
21	2	Door assembly	lost_sale	102	0	Yes	\$0	\$12,852	\$6,120	\$1,800	\$20,772
19	3	Inverter PCB	lost_sale	59	0	Yes	\$0	\$13,216	\$3,540	\$1,800	\$18,556
37	8	Inverter PCB	lost_sale	60	0	No	\$0	\$13,440	\$3,600	\$0	\$17,040
4	12	Inverter PCB	lost_sale	56	0	No	\$0	\$12,544	\$3,360	\$0	\$15,904
26	9	Door assembly	lost_sale	70	0	Yes	\$0	\$8,820	\$4,200	\$1,800	\$14,820
17	3	Inverter PCB	lost_sale	52	0	No	\$0	\$11,648	\$3,120	\$0	\$14,768
33	2	Inverter PCB	backorder	117	20	Yes	\$4,914	\$0	\$2,340	\$1,800	\$9,054
18	6	Inverter PCB	lost_sale	29	0	No	\$0	\$6,496	\$1,740	\$0	\$8,236
38	1	Door assembly	backorder	106	18	Yes	\$4,134	\$0	\$2,120	\$1,800	\$8,054
31	7	Drum bearing	backorder	105	16	Yes	\$3,780	\$0	\$2,100	\$1,800	\$7,680